Louisiana Public Service Commission

POST OFFICE BOX 91154
BATON ROUGE, LOUISIANA 70821-9154
lpsc.louisiana.gov

Telephone: (225) 342-9888

COMMISSIONERS

Mike Francis, Chairman
District IV
Eric F. Skrmetta, Vice Chairman
District I
Foster L. Campbell
District V
Davante Lewis
District III
Jean Paul Coussan
District II

BRANDON M. FREY
Executive Secretary

KATHRYN H. BOWMAN
Executive Counsel

JOHNNY E. SNELLGROVE, JR
Deputy Undersecretary

July 11, 2025

CC: JG
LA PUBLIC SERVICE COMM
JUL 11 2025 PM3:55

VIA HAND DELIVERY
Louisiana Public Service Commission
Records and Recordings
602 N. Fifth Street
Galvez Building, 12th Fl.
Baton Rouge, LA 70802

Re: Docket U-37483, Beauregard Electric Cooperative, Inc., ex parte. In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

To whom it may concern:

Direct Testimony of Thomas Broady in Support of the Staff Recommendation on Behalf of the Louisiana Public Service Commission is enclosed for filing in the above-captioned matter. Please file the enclosed into the record of the above-captioned docket. If you have any questions regarding this filing, please do not hesitate to contact me.

Sincerely,

Arvind Viswanathan (Bar Roll 36066)
Staff Attorney
Louisiana Public Service Commission
Phone: (225) 342-9888
Email: arvind.viswanathan@la.gov

cc: Service List (via email)

LOUISIANA PUBLIC SERVICE COMMISSION

DOCKET NO. U-37483

BEAUREGARD ELECTRIC COOPERATIVE, INC.,

EX PARTE.

LA PUBLIC SERVICE COMM
JUL 11 2025 PM3:55

In re: Application for an increase in rates, approval of Formula Rate Plan, including modification to standard Terms and Conditions, and for Interim Relief.

TESTIMONY OF THOMAS BROADY

IN SUPPORT OF THE

STAFF RECOMMENDATION

ON BEHALF OF THE

LOUISIANA PUBLIC SERVICE COMMISSION

July 11, 2025

Q. PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.

A. My name is Thomas Broady. My business address is the Galvez Building, 12th Floor, 602 North 5th Street, Baton Rouge, Louisiana, 70802.

Q. WHERE ARE YOU EMPLOYED AND IN WHAT CAPACITY?

A. I am employed at the Louisiana Public Service Commission ("LPSC" or the "Commission") as an Audit Manager. My position involves the examination, review, analysis, and evaluation of accounting records, reports, financial statements, and other documents of utilities under the jurisdiction of the LPSC.

Q. PLEASE PROVIDE YOUR EDUCATIONAL AND PROFESSIONAL BACKGROUND.

A. I earned a Bachelor's Degree in Education with concentrations in Mathematics and History from Nicholls State University. I then graduated from Western International University with a Master's Degree in Accounting as well as Master's Degree in Business Administration. I have been employed by the LPSC since May of 2018 and was previously an Account Manager for a regional service company. Since my employment with the LPSC, I have attended and participated in various educational conferences with the National Association of Regulatory Utility Commissioners ("NARUC"), including rate schools, educational and technical conferences, and annual policy summits on utility regulation. I have also attended and participated in annual financial forums as an active member of the Society of Utility and Regulatory Financial Analysts ("SURFA").

Q. HAVE YOU PREVIOUSLY TESTIFIED IN REGULATORY PROCEEDINGS REGARDING UTILITY RATES?

A. Yes. I have previously presented testimony on dozens of occasions before the Commission in various dockets and proceedings.

Q. ON WHOSE BEHALF ARE YOU TESTIFYING IN THIS PROCEEDING?

A. I am testifying on behalf of the Louisiana Public Service Commission Staff.

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. The purpose of my testimony is to provide an overview of my recommendation to the Commission regarding Beauregard Electric Cooperative, Inc. ("BECI" or the "Cooperative") request for an increase in base rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

Q. PLEASE PROVIDE A BRIEF OVERVIEW OF THE COOPERATIVE IN TERMS OF ITS SERVICE TERRITORY AND THE NUMBER OF MEMBERS IT SERVES.

A. The Cooperative is a Louisiana non-profit rural electric distribution cooperative. The Cooperative provides retail electric service to approximately 44,695 meters for approximately 32,000 members in the Parishes of Allen, Beauregard, Calcasieu, Evangeline, Jefferson Davis, Rapids, and Vernon. BECI is governed by a nine (9) member board of directors. BECI provides approximately 90% of those service connections considered residential.

Q. WHEN DID THE COOPERATIVE SUBMIT THE APPLICATION REQUESTING AN APPROVAL OF A MODIFICATION OF BASE RATES?

A. The Cooperative filed its application requesting an increase in rates on January 14, 2025.

Q. DID YOU REVIEW THE COOPERATIVE'S APPLICATION AND ANY ADDITIONAL DOCUMENTAITON PROVIDED BY THE COOPERATIVE IN SUPPORT OF ITS REQUEST?

A. Yes, I reviewed the Cooperative's request and documents that were filed in support of the Cooperative's request for approval of its modification of base rates. This included the direct testimony of BECI General Manager and Executive Vice President Mr. Mike Viator as well as the direct testimony of BECI's consultants Mr. Justin Proctor of C.H. Guernsey and Company who provided a cost of service study as well as a cash needs and revenue requirement analysis. I also review audited financial statements, test year operating statements, calculations for financial ratios, revenue calculations, summaries of rate changes, and supporting data for each of the aforementioned information. In addition to what was filed, Audit Staff reviewed annual reports that have been filed by the Cooperative with the LPSC, responses to formal data requests, annual filings the Cooperative made with its lenders and the LPSC, and RUS Form 7's filed by the Cooperative.

Q. DID YOU ASSIST IN THE PREPARATION OF THE INFORMAL AND FORMAL DATA REQUESTS ISSUED TO BECI?

A. Yes.

Q. WHAT DID THE COOPERATIVE REQUEST IN ITS APPLICATION?

A. BECI is requesting approval of an increase in rates, approval of a FRP, including modifications to standard terms and conditions, and for interim rate relief. BECI's interim

rate relief included an ask for 40% of the proposed revenue adjustment and an immediate tariff change to accommodate the new power supply agreement with high load factor users. BECI's interim rate relief was granted on May 8, 2025 and BECI was able to start collecting approximately $3,721,605 of the requested total. BECI's final proposed rate increase would provide for an additional $9,304,013 in operating revenues over the 2023 adjusted test year and would provide for a MDSC of 1.95, a TIER of 2.52, and an OTIER of 2.32. Additional changes to the tariff include increases to the monthly customer service charges for all classes and the implementation of a monthly customer service charge for those classes that didn't previously have one. For single phase residential customers this is an increase from $9.00 to $15.00 and for single phase commercial this is an increase from $12.00 to $25.00. Every rate class is affected by the increases as BECI is seeking to more appropriately align revenues to their fixed costs of maintaining and servicing the lines.

Additionally, BECI is changing the Cooperatives PCA operates as well. For the industrial HLF class BECI will directly assign and recover power cost each month. For all other classes, changes in the average cost of power when measured against the PCRF Rate Base will be recovered in the form of a single PCRF. Meaning, that base rates will have a specific total per kWh that is embedded in base rates already. BECI is proposing that the residential customers energy charge would eliminate the PCA factor and FRP factor currently set up and move existing revenues into base rates. The new energy charge would be approximately $0.109300 with $0.074953 included in base rates.

Q. DO YOU RECOMMEND THAT BECI BE ALLOWED TO IMPLEMENT THE RATES AS PROPOSED?

A. No. Not in its entirety. BECI's request to modify its tariff and standard terms and conditions helped to better align costs with where operating revenues are being generated. Additionally, changes were necessary to ensure that tariffs were realigned to BECI's new power supplier in 1803 Electric Cooperative whose new contract is currently in effect. Additionally, BECI requested to implement a three-year formula rate plan that utilized a MDSC bandwidth that was considerably higher than what was previously allowed and utilized by the Cooperative. My recommendation was to allow the tariff changes that came out of the cost of service study as well as the allow the implementation of a formula rate plan. However, my recommendation was to allow for a change in base rates with a smaller margin than what was requested by BECI and to allow the FRP with a reduced MDSC bandwidth than what was request. BECI requested a rate increase of approximately $9,304,013 that would have provided for an MDSC of 1.95, a TIER of 2.52, and an OTIER of 2.32. My recommendation was to allow a rate increase of approximately $6,680,068 which would provide for an MDSC of 1.70, a TIER of 2.04, and OTIER of 1.84. My recommendation for the FRP bandwidth was for an upper band limit MDSC of 1.80, a lower band limit MDSC of 1.60, and midpoint MDSC of 1.70. This provided for a significantly higher margin that was is necessary from BECI's lenders to continue to have access to capital for its continued growth as well as is in excess of previously authorized metrics for debt service covenant ratios for BECI in recent ratemaking decisions. Additionally, my recommendation was to further ease cash flow concerns for BECI by implementing an emergency reserve fund rider that BECI would be authorized to collect over a three-year period.

Q. HOW DID YOU DETERMINE THE REVENUE REQUIREMENT FOR YOUR RECOMMENDED RATE INCREASE?

A. I reviewed the financials of BECI that were provided in the rate application and in responses to data requests. Additionally, I reviewed the cost of service study conducted by Mr. Proctor as well as the review and analysis of the various adjustments that were made to the test year. I generally agreed with Mr. Proctor's adjustments. Further review of the

general ledger didn't provide for any additional disallowances. Staff reviewed the ledger to out of period transactions and to ensure that expenses such as political contributions and charitable donations were removed for ratemaking purposes. Staff was then able to get a better look at BECI's financial condition. Staff agreed with Mr. Proctor's analysis that BECI was significantly underperforming and was not producing enough revenues to cover its expenses in a manner that was required by its lenders to maintain it's access to capital. Staff's review saw that BECI had an as adjusted operating loss of approximately $2,126,480 ad an overall net margin loss of $1,051,826. These financial results produced an MDSC of 1.07 where as BECI's lenders require a minimum MDSC of 1.35 every two of three years for continued access to capital. Staff's revenue requirement had to ensure that BECI was producing revenues that provided for all of its operation expenses as well as produced an appropriate cash flow for ongoing activities. Staff's revenue requirement analysis provides for rates that produce an operating margin of approximately $4,553,588.30 and a net margin of approximately $5,638,242. This provides for an MDSC of 1.70, a TIER of 2.04, and OTIER of 1.84 which is significantly higher than BECI's lenders require for continued access to capital and is higher than BECI's previously allowed margins in its last rate case. Additionally, the implementation of the FRP provides for less risk of BECI not meeting or exceeding its lenders covenants as well as helps to reduce the risk associated with inflationary risks regarding labor and materials increases in the market. The margins that BECI is able to achieve with the new rates as well as its non-cash expenses provides BECI with a cash flow in excess of $12 million dollars where its expected principal payments are less than half of that total. With operating expenses as well as interest expenses built into the yearly FRP changes that would occur, this provides

for a significant path towards a more health financial outlook for BECI and would help to achieve more balance in future capital needs for growth or replacement of plant.

Q. CAN YOU EXPLAIN YOUR REASONING FOR RECOMMENDING THAT BECI IMPLEMENT AN EMERGENCY RESERVE FUND RIDER WHEN THEY DIDN'T REQUEST THAT IN THEIR APPLICATION?

A. Yes. Traditionally, our Louisiana Cooperatives have had to rely on existing margins of cash on hand or expensive lines of credit to respond to emergency events. When those margins or cash on hand do not exist, they have to borrow funds in order to appropriately respond to emergencies such as hurricanes or outages from significant storms. BECI's financials showed continued erosion of margins without a significant amount of cash on hand. To ensure that rates that are put into effect today are less in risk of needing to be utilized for expensive lines of credit, Staff is recommending that BECI take the forward-thinking approach of creating an emergency reserve fund through the use of a rider. This emergency reserve fund would allow BECI to create a fund dedicated for these purposes over a period of three years. This would help to alleviate cash flow concerns that may hurt the Cooperative's other cash flow goals or could hurt their margins from regular yearly operations.

Q. CAN YOU SUMMARIZE YOUR FINDINGS AND RECOMMENDATIONS?

A. Yes. My recommendations would allow for an initial increase in revenues of approximately $6,680,068, which would allow BECI the opportunity to achieve a MDSC of 1.70 based on an as adjusted test year. This increase would include the changes for fixed monthly service charges as proposed by BECI as well an energy and charges for additional revenues to achieve the recommended revenues requirement for all customer classes. For

residential customers this would be an increase from $9.00 to $15.00 in the monthly customer charges. Staff is also proposing to allow BECI to implement a Formula Rate Plan with a three-year term with the first test year filing for the Test Year ending December 31, 2026. Staff's recommendation would be to allow the FRP to utilized an upper band MDSC of 1.80, a lower band MDSC of 1.60, and a midpoint MDSC of 1.70. Additionally, Staff is recommending that BECI be able to implement an emergency reserve fund rider to ease cash flow concerns and assist BECI in responding to emergencies with less reliance on lines of credit and less reliance on cash flows that would affect the intended margins developed in this rate case.

Q. PLEASE SUMMARIZE YOUR FINAL RECOMMENDATION.

A. Based on my review of the documentation provided by the Cooperative in support of its

1. BECI be authorized to implement an increase in rates to achieve an additional $6,680,068 in annual revenues as compared to the as adjusted 2023 Test Year which would provide an opportunity for BECI achieve a MDSC of a 1.70.
2. BECI be authorized to adjust all rate class fixed billing components as proposed in the Request.
3. BECI be authorized to implement a FRP with a three year term with the first test year ending December 31. 2026 with the first report due in 2027, utilizing a MDSC bandwidth with a lower band MDSC of 1.60, an upper band MDSC of a 1.80, and midpoint MDSC of a 1.70.
4. BECI be authorized to implement an emergency reserve rider that would allow them to collect approximately $2,500,000 over a period of thirty-six (36) months with the intent that those funds be utilized for emergency responses to significant storm repairs and damages due to significant events such as hurricanes.

5. BECI be required to file into the record of this proceeding, along with a copy to the Commission's Utilities Division, a new or revised tariff reflecting the Commission's action, within thirty (30) days of the issuance of an Order in this proceeding. All tariff filings shall be made in accordance with the Commission's General Order Dated July 1, 2019.

6. BECI be required to submit a narrative along with its FRP Test Year Filings outlining the status of its progress adhering to the April 30, 1998 General Order and any actions and spending they took during the test year and what they intend to do in the following test year to address any inadequacies.

7. Upon satisfaction of the above-described condition(s), and approval of the same by Staff, the approved rates are deemed effective. Any newly approved rates charged to customers prior to satisfying the above-stated conditions shall be considered a direct violation of this rate proceeding and subject to refund with interest.

8. This action is taken without prejudice to the authority of the Commission to make investigations and require any reasonably necessary change that the Commission may legally find to be in the public interest.

. Q. DO YOU BLEIEVE YOUR RECOMMENDATION IS FAIR, REASONABLE, AND IN THE PUBLIC INTEREST?

A. Yes, I do.

Q. DOES THIS CONCLUDE YOUR TESTIMONY

A. Yes, it does.

LOUISIANA PUBLIC SERVICE COMMISSION

DOCKET NO. U-37483

BEAUREGARD ELECTRIC COOPERATIVE, INC.,

EX PARTE.

In re: Application for an increase in rates, approval of Formula Rate Plan, including modification to standard Terms and Conditions, and for Interim Relief.

STATE OF LOUISIANA

PARISH OF EAST BATON ROUGE

I, Thomas Broady, Audit Manager with the Louisiana Public Service Commission, being duly sworn, do hereby state that I have prepared and reviewed the above and foregoing Testimony and that the matters contained therein are true and accurate to the best of my knowledge, information, and belief. I do adopt the same as my sworn testimony in this proceeding.

Thomas Broady
Audit Supervisor
Louisiana Public Service Commission

Sworn and subscribed to before me this 11th day of July 2025.

Arvind Viswanathan
Bar Roll No. 36066
My Commission Expires at Death
Staff Attorney
Louisiana Public Service Commission

LOUISIANA PUBLIC SERVICE COMMISSION

AUDIT MEMORANDUM

For

Beauregard Electric Cooperative, Inc.,
Ex Parte.

Docket No. U-37483

Prepared by: Thomas Broady

July 11, 2025

EXECUTIVE SUMMARY

Beauregard Electric Cooperative, Inc ("BECI" or the "Cooperative") filed an application (the "Request") with the Louisiana Public Service Commission ("LPSC" or the "Commission") on January 14, 2025 requesting an increase in rates, approval of Formula Rate Plan ("FRP"), including modifications to standard terms and conditions, and for interim rate relief. BECI is an electric cooperative formed in 1939 and existing pursuant to the Louisiana Electric Cooperative Law, La. R.S. 12:401, et seq.[1] BECI serves approximately 44,695 meters for approximately 32,000 members in the Parishes of Allen, Beauregard, Calcasieu, Evangeline, Jefferson Davis, Rapides, and Vernon, with its main headquarters located in DeRidder, Louisiana.[2]

BECI has approximately 120 employees and is governed by a nine (9) member Board of Directors elected by the membership. BECI's members are owners of the system and also the ratepayers. As a Cooperative, BECI has no stock owners.

In the Request, BECI is seeking to (1) increase its base rates, (2) approval of a FRP, (3) modifications to standard terms and conditions and rate schedules, and (4) interim rate relief. BECI indicates in the Request that its current financial operations are unsustainable and that the rate relief requested is not excessive. Additionally, BECI argues in the Request that the rates requested will provide BECI with much needed revenue to improve the Cooperative's operating deficit, allow the Cooperative to pay operating expenses, help properly fund capital additions, and produce a modified debt service coverage ratio consistent with the Cooperative's financial objectives. BECI indicates that they are not currently generating adequate margins to continue operations due to insufficient revenues and cash flows and that factors such as continual effects of inflation, increases in wages, emergencies, or a natural disaster would put the Cooperative at risk of financial turbulence.

In the Request, BECI is seeking an initial revenue adjustment in the amount of $9,304,013 in operating revenues and provides an initial Modified Debt Service Coverage ("MDSC") of 1.95, a Times Interest Earned Ratio ("TIER") of 2.52, and an Operating Times Interest Earned Ratio ("OTIER") of 2.32. BECI's Request represents a 6.98% increase over the adjusted 2023 test year.

The requested FRP includes a three (3) year term starting with the 2026 test year with annual review and would utilized a MDSC bandwidth to determine rate impacts. BECI is requesting an MDSC bandwidth with an upper bandwidth of a 2.00, a lower bandwidth of a 1.80, and a mid-point reset of 1.90. Thus, any earnings outside of the prescribed bandwidth would require a reset in revenues to the midpoint MDSC of a 1.90, while any earnings inside the bandwidth would not require a reset in revenues.

BECI's current base rates date back to its original FRP that was authorized by LPSC Order No. U-32540, issued April 29, 2013. That initial FRP began with the 2012 test year and expired with the 2014 test year and utilized a bandwidth of 1.50-1.70. BECI requested and the Commission authorized a request for extension and modification of the initial FRP by extending it an additional three (3) years and allowing a modified rate reset of 1.60 with LPSC Order No. U-33908 on August 8, 2016. BECI filed its

[1] Louisiana Secretary of State Business Filings at www.sos.la.gov.
[2] Beauregard Electric Cooperative, Inc 2024 Annual Report Filing.

final test year of 2017 with the amended FRP in Docket U-34819. Those rates were still in effect at the date filing of the Request by BECI.

BECI's proposed changes to its Standard Terms and Conditions include proposing an increase to the Cooperative's monthly customer service charges, demand charges, and energy charges to recover BECI's basic cost of connecting and maintaining service availability. BECI is transitioning to 1803 Electric Cooperative, Inc ("1803") as its wholesale power supplier. Due to this change, BECI is also seeking changes to the Industrial High Load Factor (HLF"_)tariff. Due to the magnitude of the size of member loads, BECI is proposing to unbundle the recovery of BECI's delivery and power cost. Power cost will be directly assigned to each load based on the loads demand and energy requirements and 1803's billing rates. BECI's cost and margin will be recovered in the wires charges applied to the load in the form of a monthly customer charge, demand charge, and energy charge.

BECI is also seeking to change how the Cooperatives Power Cost Adjustment ("PCA") operates as well. In the proposed rates, BECI will directly assign and recover power cost each month from the Industrial HLF class. For all other classes, changes in the average cost of power when measured against the Power Cost Recover Factor ("PCRF") Base Rate will be recovered in the form of a single PCRF. This change is necessary to appropriate bill the Industrial HLF class and edit the language of the PCA tariff to ensure that Industrial HLF power cost is removed from the total power supply used in the current PCA calculations.

BECI's monthly customer service charges will reach every customer class. Some classes that didn't have a monthly customer service charge will now see one such as Large Power, Industrial, and Industrial HLF. For residential single-phase customers this increase will be from $9.00 to $15.00 and for small commercial single-phase customers this increase will be from $12.00 to $25.00.

Finally, BECI sought interim rate relief given the immediacy of the needed financial relief. The Commission issued Order U-37483 on May 8, 2025 which allowed BECI to implement 40% of the requested overall base rate increase as well as to be able to implement the changes to its Tariff related to HLF and HLF Air Separator Plant ("ASP") subject to refund and applicable bonding requirements.

After review, Staff believes that BECI's proposed initial base revenue increase and corresponding FRP MDSC bandwidth is excessive and is recommending a lower base rate increase and bandwidth. Staff's Recommendation would allow for BECI to recover all of its prudently expensed operating expenses and be provided a margin that would allow significant cash flows for the Cooperative and be in excess of what its lenders require for ongoing access to capital as well as in increase from what was granted to BECI in previous rate cases. Staff's recommended initial base rate increase would be approximately $6,680,068 and would provide for a MDSC of 1.70, a TIER of 2.04, and an OTIER of 1.84. Staff's recommended increase would provide operating margins for the as adjusted test year of approximately $4,553,588 which would help to ensure operational cash flows for BECI in excess of $12 million for the as adjusted test year. Staff's recommendation would also allow for the creation of an emergency reserve fund. BECI's application indicated a lack of general cash funds in order to respond to emergencies, and Staff believes this is an important area where Cooperatives can be proactive to avoid using costly lines

of credit for certain emergencies. Staff's Recommendation would be to allow the implementation of a Rider to collect an emergency reserve fund similar to what has been allowed for other Cooperatives to ensure additional cash funds are available to the Cooperative in emergencies and reduce its reliance on existing margins that would erode their financial stability. Staff's Recommendation would be for BECI to implement a rider to collect approximately 30 days of operating expenses, other than purchased power costs, over a period of three calendar years. Staff believes this will enable BECI to access approximately $2.5 million in additional cash flows in times of need and help further ease cash flow concerns.

Staff's recommendation would allow BECI to increase its monthly customer charges as requested and make the accompanying changes to its Standard Terms and Conditions as indicated in the request. Staff's recommendation would be to allow BECI to implement the proposed FRP with modification to the proposed bandwidth. Staff would instead recommend a modified MDSC upper band of a 1.80 and a lower band of 1.60, and a midpoint reset to a 1.70 if earnings fall outside of the band. Specifically, Staff's recommendation would be to allow all of the fixed charge changes that BECI is requesting and a slightly lower energy charge for difference of the proposed and recommended base rate change.

BACKGROUND

BECI is a non-profit rural electric distribution cooperative formed in 1939 and existing pursuant to the Louisiana Electric Cooperative Law, L. R.S. 12:401, et seq. BECI service approximately 44,695 meters for approximately 32,000 members in the Parishes of Allen, Beauregard, Calcasieu, Evangeline, Jefferson Davis, Rapides, and Vernon. BECI owns and maintains approximately 5,500 miles of distribution lines connecting 22 distribution substations and 8 transmission substations and had a peak load of approximately 296 megawatts.

BECI has approximately 120 employees and is governed by a nine (9) member Board of Directors elected by the membership. BECI's members are owners of the system and also the ratepayers. As a Cooperative, BECI has no stock owners. BECI currently receives power through a wholesale power supplier in 1803 where the Cooperative is a member-owner. BECI transitioned to 1803 supplying power when the old power supplier with Louisiana Generating, LLC ("LaGen") expired on March 31, 2025. BESI's current retail rate is modeled after the old wholesale power supplier.

Approximately 90% of BECI's customers are residential and approximately 10% are considered commercial or industrial. BECI also services a small number of public street and highway lighting accounts. BECI's test year customer counts show a growth of total customers served by about 4,000 over the last ten years which represents approximately a 9%. BECI has utilized significant plant additions during the test year with approximately $14,352,449 additions to plant assets per its CFC Form 7 reporting. This spending has led to a Net Plant Growth of approximately $20,263,425 including Construction Work in Progress ("CWIP").

BECI's General Manager and Executive Vice President Mr. Mike Viator provided direct testimony in the Request and indicated that the Request would allow BECI to achieve goals set by its board including addressing the decline of its operating margin, restoring financial stability, funding capital projects, and maintaining member equity, and meets its sole lenders coverage ratios. BECI is required to maintain a MDSC of a 1.35 for two of every three consecutive years in order to be eligible to borrow new loan funds and avoid defaulting on its existing loans.

PREVIOUS RATE INCREASES

According to BECI's Request, the last increase in baser rates was authorized by LPSC Order No. U-32540, issued April 29, 2013. The Order allowed for BECI's initial base rate setting and the onset of BECI's original FRP. The FRP started with a test year of 2012 and expired with the 2014 test year and had a bandwidth MDSC of 1.50 – 1.70 whereby a rate reset would be either to the high or low end of the bandwidth. BECI was granted a modification and extension of the original FRP in LPSC Order No. U-33908 that extended the FRP for a period of three additional years and implemented a midpoint reset of 1.60 instead of resetting to just the high or low end of the band. The FRP expired with the 2017 test year being the final test year whereas BECI was granted a $3.4 million increase in revenues to reset back to the 1.60 MDSC. BECI was required to submit a full rate case which they did so in Docket U-35351 but submitted a motion to withdraw, which was unopposed by Staff in March of 2020.

COMPANY'S REQUEST

On January 14, 2025, BECI filed an application with the LPSC requesting approval of an increase in rates, approval of a FRP, including modifications to standard terms and conditions, and for interim rate relief. BECI's interim rate relief included an ask for 40% of the proposed revenue adjustment and an immediate tariff change to accommodate the new power supply agreement with high load factor users. BECI's interim rate relief was granted on May 8, 2025 and BECI was able to start collecting approximately $3,721,605 of the requested total. BECI's final proposed rate increase would provide for an additional $9,304,013 in operating revenues over the 2023 adjusted test year and would provide for a MDSC of 1.95, a TIER of 2.52, and an OTIER of 2.32. Additional changes to the tariff include increases to the monthly customer service charges for all classes and the implementation of a monthly customer service charge for those classes that didn't previously have one. For single phase residential customers this is an increase from $9.00 to $15.00 and for single phase commercial this is an increase from $12.00 to $25.00. Every rate class is affected by the increases as BECI is seeking to more appropriately align revenues to their fixed costs of maintaining and servicing the lines.

Additionally, BESI is changing the Cooperatives PCA operates as well. For the industrial HLF class BECI will directly assign and recover power cost each month. For all other classes, changes in the average cost of power when measured against the PCRF Rate Base will be recovered in the form of a single PCRF. Meaning, that base rates will have a specific total per kWh that is embedded in base rates already. BECI is proposing that the residential customers energy charge would eliminate the PCA factor and FRP factor currently set up and move existing revenues into base rates. The new energy charge would be approximately $0.109300 with $0.074953 included in base rates.

BECI is eliminating various parts of the tariff including the time of day service and the environmental cost adjustment and updating language throughout the tariff including updating the PCA language, updates to the FRP language, updates to remove outdated language and services no longer offered, and updated terms of service.

Notice of the Request was published in the Commission's Official Bulletin #1341 dated January 17, 2025 as Docket No. U-37483 with an intervention period of fifteen (15) days. Mr. Brian Zelenak filed a petition of intervention on February 3, 2025. Mr. Zelenak's position indicated he was the former General Manager and Consultant to BECI and indicated that he was aware of various cost saving concerns and policies and spending that was detrimental to BECI. Mr. James E Sudduth of Sudduth & Associates, LLC requested addition to the service list as an interested party on February 11, 2025. Louisiana Internet & Television – The Broadband Association ("LIT") requested interested party status and addition to the service list on February 12, 2025. BECI additionally filed a motion to amend Exhibit D to the Request as there was a clerical error they wanted to remedy. This was granted by the Administrative Law Judge. The Cooperative filed notice of the Request in the official state journal as well as all relevant parish journals.[3] Proof of publications was filed into the record on February 17, 2025.

[3] BECI filed notice of its Request in *The Advocate*, *The News Leader*, *American Press*, V*ille Platte Gazette, Jennings Daily News, The Town Talk,* and *The News Leader* as evidenced by its February 17,2025 filing in Docket U-37483.

BECI claims that the Request is necessary to achieve goals set by its board including addressing the decline of its operation margin, restoring financial stability, funding capital projects, maintaining member equity, and meeting its sole lenders coverage ratios. BECI has cited factors that are continually affective its margins such as inflation, increase in wages, unforeseen expenses, and concern that an event such as natural disaster could immediately put the Cooperative at risk of financial turbulence.

AUDIT STAFF'S REVIEW AND ANALYSIS OF THE COMPANY'S REQUEST

The Cooperative and Audit Staff agreed to utilize the calendar year ending December 31, 2023, as the test year. BECI retained the services of Mr. Justin Proctor of C.H Guernsey and Company ("Guernsey"), to review its operations and prepare a Cost of Service Study along with a Cash Requirement Analysis for the 2023 TY.

In support of its Request, BECI submitted Direct Testimony and Exhibits of Mr. Mike Viator, BECI's Executive Vice President and General Manager, Mr. Justin Proctor, consultant for Guernsey. Mr. Mike Viator's direct testimony address what BECI is seeking in its Request and Mr. Justin Proctor's Testimony and exhibits include his cost of service study, test year adjustments, and explanations of his reasonings and tariff changes. BECI also included a proposed FRP rate plan rider, existing tariffs with rate schedules and riders and additional copies that are redlined showing all changes, as well as an exhibit emphasizing the rate impact of BECI's Request.

BECI provided Audit Staff with electronic copies of all exhibits and the cost of service study filed into the docket. BECI also provided additional financial information including but not limited to bank statements, billing registers, loan agreements, lease agreements, audited financials, general ledgers, insurance policies, contracts, and information on variances from the test year and prior calendar years. BECI provided this information in response to data requests issued by Staff.

Test Year Adjustments Requested by BECI

BECI used actual 2024 TY data and adjusted the test year revenues and expenses for known and measurable and continuing changes. Specific adjustments are as follows and can be seen in Broady Exhibit 1 Test Year Per Cooperative:

Operating Revenue Adjustments

Mr. Proctor made four adjustments to Operating Revenues for the test year. Mr. Proctor calculated the revenues by applying the existing rates to adjusted test year billing units. These were all provided for Staff's review in the Cost of Service Study. These adjustments included an increase in Base Revenues of $405,312, an increase in FRP revenues of $35,614, a reduction in PCA Revenues of $22,302,598, and a reduction in unbilled revenue of $5,491,969. The overall adjustments were for a total reduction of $27,353,641. The PCA revenue change was made to restate the revenues based on the adjusted power cost in the COSS. The adjustment to the PCRF reflects a matching of power cost incurred and billed. Because this matching was completed an adjustment was made to remove the unbilled revenues portion.

Operating Expenses Adjustments

Mr. Proctor made ten separate adjustments to the Operating expenses for the test years. These adjustments include a reduction of purchased power of $26,528,952, an increase in payroll of $246,220, an increase in benefits of $366,607, an increase in payroll tax of $43,629, an increase in liability insurance of $210,064, and increase in bad debts of $6,490, and increase for rate case expenses of $33,333, an increase of depreciation of $143,360, an increase in property taxes of $201,662, a decrease in franchise taxes of $32,846, and a decrease of miscellaneous of $112,541. These various adjustments come back for a complete total reduction of $25,422,973. Mr. Proctor outlines his reasoning for these adjustment in his direct testimony including a restatement of expenses for known and measurables from 2024 for payrolls and employee benefits. Additionally, Mr. Proctor indicated the reduction of purchased power is related to adjusted power cost from 1803 applied to normalized billing units as well as the direct costs assigned for HLF and HLF ASP rate classes. Mr. Proctor adjusted reflect reduction of expenses for charitable donations and director benefits of $112, 541 from the miscellaneous category. The insurance adjustments reflect actual increases in general liability, commercial umbrella, cyber security, and directors and officers for the 2024 known and measurables. The rate case expense is an amortized cost of an estimated $100,000 in consulting and legal fees associated with the rate case. Depreciation rates were applied to plant balances at the end of the test year. Property taxes were adjusted based on the plant in service and an effective tax rate. Mr. Proctor reclassified this expense on this O&M accounts in his schedule. Payrolls taxes were adjusted for appropriate applicable tax rates to adjusted payroll totals.

Interest and Other Deductions Adjustments

Mr. Proctor made three adjustments to the interest and other deductions section. Mr. Proctor made an adjustment to include applicable interest rate to the principal outstanding on new loan draws that were made during the test year. This is highlighted in the COSS and results in an increase of $1,117,789 in interest on long term debt. Mr. Proctor's additional adjustments here increase Interest Charged to Construction (credit) by $3,265,409 and decreases Interest Other by $3,687,604. The total changes reflected in this section is a positive increase of $755,585 overall and can be found further explained in detail in Mr. Proctors COSS.

Non-Operating Margins Adjustments

Mr. Proctor made an adjustment to zero out an extraordinary item as this would generally not be recurring.

After making the requested adjustments to the test year, the Cooperatives overall adjusted test year revenues are $133,308,814 and overall adjusted operating expenses (excluding Interest and Other Deductions) was $$129,003,692. With the inclusion of the interest and other deductions, the overall adjusted test year operating margin is ($2,126,480). Further, including non-operating margins, the test year net margins are ($1,084,654) resulting in an MDSC of 1.07 per the Cooperative.

BECI claimed that the current operations are unsustainable and requested an increase in revenues in the amount of $9,304,013. The proposed revenue increase will generate an operating margin of $7,177,533 and a net margin of $8,262,187. The additional revenue represents approximately 6.98% increase in overall revenues compared to the adjusted test year revenues.

In order to properly allocate the proposed increase in revenue among the rate classes, BECI proposed to increase all rate class fixed billing components and to create a fixed billing component for those rate classes in the industrial side that had not had one previously. The increases in the fixed billing component is an increase to the monthly customer charge. This increase will vary depending on the rate class the customer is using. Residential single-phase customers will have an increase from $9.00 to $15.00. Single phase commercial customers will see an increase from $11.00 to $20.00. Customer bills will also be changing.

With the swap to 1803 as a power supplier, BECI is changing how the PCA will operate. The FCA has been removed. The new PCA will be as follows:

PCA = (A-B+C)/kWh's

Whereas A is equal to the total purchases power cost.

B is equal to estimated purchased electricity costs (excluding credits or purchases from suppliers that are applied directly to particular customers) from all suppliers including fuel which are included in the Cooperatives base rates. B is calculated by applying a standing rate proposed by BECI of $0.074953 to all kWh's sold.

C is an adjustment to be applied to the current monthly billing to account for difference in actual purchased electricity costs and actual PCA revenues recovered in previous periods.

Those customers taking service in the HLF rate class or HLF ASP rate class will be billed a service charge to recoup fixed costs and have separate billing as per the new tariffs included in the Request and implemented as part of the interim request.

BECI is seeking a number of clerical and language changes to its terms and service and various tariffs. The majority of these changes include the changes to remove certain aspects of tariffs that are no longer applicable and introducing language regarding terms of service and definitions through the tariff.

BECI did indicate through Mr. Proctors testimony that they would not be proposing revenue generating increases to miscellaneous service charges.

Additionally, BECI is proposing to use a FRP for a term of three calendar years with test year filings occurring in 2027, 2028, and 2029 for test years 2026, 2027, and 2028. The proposed FRP would utilize a MDSC lower band of 1.80, an MDSC upper band of a 2.00, with a midpoint MDSC reset 1.90. The MDSC calculation would be updated from the existing FRP tariff language to be consistent with the method CFC uses to evaluate this metric.

Test Year Adjustments Recommended by Staff

Audit Staff examined the documentation provided in support of each adjustment proposed by BECI as well as Cost of Service Study, Cash Requirements Study, and Revenue Requirement conducted by BECI's consultant. Additionally, Audit Staff reviewed the general ledger for political contributions, donations, fines and fees, and other expenses that are normally not allowed for recovery in base rates.

Staff found no additional adjustments from the general ledger, income statement, or balance sheet that was not already proposed by BECI's consultants, and therefore does not have any additional adjustments to add to their analysis and instead concurs with the adjustments made by BECI previously in the report, as they are one and the same.

As a result of the above adjustments, Audit Staff was able to determine that the Cooperative's overall adjusted test year revenues are $133,308,814 and overall adjusted operating expenses (excluding Interest and Other Deductions) was $129,003,692. With the inclusion of the interest and other deductions, the overall adjusted test year operating margin is ($2,126,480). Further, including non-operating margins, the test year net margins are ($1,084,654) resulting in an MDSC of 1.07.

Audit Staff further determined that the resulting MDSC is below the bare minimum amounts of 1.35 as required by BECI's lenders. Staff reviewed the revenue requirement analysis and cash needs requirements analysis provided by BECI's consultant as well as recent rate making decisions for BECI and similar sized regulated cooperatives and disagrees that setting rates to a 1.95 MDSC is reasonable.[4][5][6][7][8] Audit Staff's revenue determination calculations provide for a revenue requirement that allows for BECI to meet all of its operational expenses as well as obtain a cash flow of approximately $12 million dollars based upon the adjusted test year. This revenue determination would provide for a TIER of 2.04, an OTIER of 1.84, a DSC of 1.75 and a MDSC of 1.70. The total revenue requirement would provide an increase in revenues of $6,680,068 from the adjusted test year. Additionally, Staff believes that BECI needs a mechanism to generate additional emergency funds as the general cash fund as highlighted by Mr. Proctor is significantly low. Staff is proposing to allow BECI to utilize a rider to collect an emergency reserve fund of approximately 30 days of operating expenses, not including purchased power costs, over a period of three calendar years. This would generate approximately $2.5 million in additional cash flows for BECI and follows a trend the LPSC has allowed for a number of other regulated cooperatives. The additional revenues would ease concerns that BECI would ever fall close to any default of its existing debt service covenants. Staff is further recommending that BECI be allowed to utilize the FRP mechanic for a period of three years with a modified bandwidth lower limit of 1.60, an upper limit of 1.80, and a midpoint reset of 1.70.

As outlined and explained in BECI's Cost of Service Study, the fixed costs of providing power to its member ratepayers is considerably higher than the actual fixed revenues it receives in its monthly service charges. This means that they must rely on usage to recover fixed costs throughout the year and that means that revenues may not be available for fixed costs in the same or close to same periods, due to the majority of cost recovery being in usage rates. Audit Staff is recommending that BECI be able to increase the monthly service charge as proposed in the Request as it will allow a bit more of the fixed

---

[4] *See* LPSC Order No. U-36552, Claiborne Electric Cooperative, Inc., ex parte. MDSC 1.75-1.95

[5] *See* LPSC Order No. U-36399, Washington- St. Tammany Electric Cooperative, Inc., ex parte. TIER 1.40-1.60, DSC 1.40, OTIER 1.10

[6] *See* LPSC Order No. U-36339, South Louisiana Electric Cooperative Associate, ex parte. TIER 1.35, 1.40-1.60, DSC 1.40

[7] *See* LPSC Order No. U-35800, Concordia Electric Cooperative, Inc., ex parte. TIER 1.40-1.60,

[8] *See* LPSC Order No. U-37341, Pointe Coupee Electric Membership Corporation, ex parte. MDSC 1.80-2.00.

costs to be recovered in a monthly service charge and each cash needs of the Cooperative in the short term.

LPSC REGULATORY COMPLIANCE

Audit Staff verified that as of the date of filing of this memorandum, BECI has filed all quarterly inspection and supervision forms and has remitted all payments to the Louisiana Department of Revenue, as required by Louisiana Revised Statute 45:1177. Audit Staff further verified that as of the date of filing of this memorandum, BECI has properly filed its annual report of its financial and operating conditions, as required by General Order No. 2, dated July 1, 1921 and pursuant to the General Order dated November 22, 2011.[9]

Staff contacted the LPSC Utilities Department to confirm if BECI was compliant with the required monthly, annual, or one-time filling requirements by the LSPC. The review indicated that BECI is compliant with all annual and monthly filing requirements.

The Utilities Department indicated that an Annual Electric Reliability Report has been timely filed by BECI over the last five years and that the Cooperative has not met the minimum performance level of the system average interruption duration index ("SAIDI") or the system average interruption frequency index ("SAIFI") for any year from 2020 through 2024.

Looking at the filings there does seem to be an improvement overall from 2020 to 2024 as Beauregard went from a SAIDI number 18.05 to a 7.36. However, this is still more than twice what the minimum performance level should be. Additionally, the SAIFI numbers are indicating some improvement in 2024 compared to the 2023 totals moving from a 4.74 to a 3.90, but still considerably higher than the 2.56 minimum performance level.

Audit Staff's review of the filings indicated that BECI's reporting indicate that weather and trees out of the right of way area are significant factors for the continued SAIDI and SAIFI challenges. This is concerning to Staff as generally we see improvements with plant upgrades and BECI has had significant plant upgrades over the last ten (10) years. CFC Form 7 reports indicate that total plant in service has increased by approximately $84 million from 2015 to 2024.

CONCLUSION

BECI requested a revenue requirement of approximately $142,612,827, with an increase in rates of approximately $9,304,013 what would produce a TIER of 2.52, an OTIER of 2.32, a DSC of 1.99, and a MDSC of 1.95. Audit Staff asserts that these margins are excessive for a regulated cooperative of this size and is in excess of what is necessary to achieve the financial stability that has historically been provided to BECI in its rate proceedings. Staffs proposed revenue adjustment provided for a number of

[9] LPSC General Order dated November 22, 2011, states that "All Annual Reports filed with the Commission by regulated companies shall form the basis for the assessment of [Inspection and Supervision] Fees as provided for in La. R.S. 45:1179 and shall be sworn to before a notary public by the owner or officer/officers having personal knowledge of the facts set forth therein."

debt service covenants that are significantly in excess of what BECI's lenders require for continued access to capital and provides for a significant margin and cash flow for BECI moving forward. The rate stability of the FRP allows for continued changes and helps to address inflationary concerns and ongoing investments recovery concerns of BECI. Additionally, the implementation of an emergency reserve fund provides for a further mechanism for BECI to reduce its reliance on operational margins for emergencies that come up and further eases the burden of cash flow concerns for the Cooperative. Further, the changes sought by BECI to better align costs with revenues from their rate classes will help to alleviate cross subsidization among is rate classes and staff agrees with the increases in fixed billing components as it helps to align fixed cost recovery away from usage which can cause additional cash flow concerns.

Staff's recommendation would also to further request that BECI include a narrative in each of its test year filings outlining where its Right of Way ("ROW") spending and plant additions or replacements have impacted its SAIDI and or SAIFI numbers. With the ongoing plant expenditures by BECI as well as the increase in margins with Staff's recommendation here over previous rate cases for BECI, Staff would recommend that further non-compliance or lack of on-going improvement in the SAIDI/SAIFI metrics for BECI result in the LPSC taking action as allowed by the April 30, 1998 General Order.

AUDIT STAFF'S RECOMMENDATION

Based on Audit Staff's review of documentation provided by the Cooperative in support of its request and the analysis discussed above, Audit Staff makes the following recommendations:

1. BECI be authorized to implement an increase in rates to achieve an additional $6,680,068.30 in annual revenues as compared to the 2023 Test Year which would provide an opportunity for BECI to achieve a TIER of 2.04, an OTIER of 1.84, a DSC of 1.75, and MDSC of 1.70.
2. BECI be authorized to adjust all rate class fixed billing components as proposed in the Request.
3. BECI be authorized its standard terms and conditions in compliance with the additional revenues recommended by Staff.
4. BECI be authorized to implement a FRP with a three year term with the first test year ending December 31. 2026 with the first report due in 2027, utilizing a MDSC bandwidth with a lower band MDSC of 1.60, an upper band MDSC of a 1.80, and midpoint MDSC of a 1.70.
5. BECI be authorized to implement an emergency reserve fund rider to collect approximately $2.5 million dollars over a 36-month period to assist the Cooperative in emergencies such as storm events and restoration of service.
6. BECI be required to submit a narrative along with its FRP Test Year Filings outlining the status of its progress adhering to the April 30, 1998 General Order and any actions and spending they

took during the test year and what they intend to do in the following test year to address any inadequacies.

7. BECI be required to file into the record of this proceeding, along with a copy to the Commission's Utilities Division, a new or revised tariff reflecting the Commission's action, within thirty (30) days of the issuance of an Order in this proceeding. All tariff filings shall be made in accordance with the Commission's General Order Dated July 1, 2019.

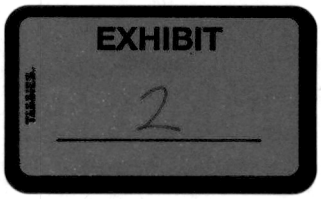
8. Upon satisfaction of the above-described condition(s), and approval of the same by Staff, the approved rates are deemed effective. Any newly approved rates charged to customers prior to satisfying the above-stated conditions shall be considered a direct violation of this rate proceeding and subject to refund with interest.

9. This action is taken without prejudice to the authority of the Commission to make investigations and require any reasonably necessary change that the Commission may legally find to be in the public interest.

EXHIBIT 1

Beauregard Electric Cooperative, Inc.
Docket No. U-37483
Test Year Income Statement December 31, 2023 Per Cooperative

	Unadjusted 12/31/2023	Cooperative Adjustments	Adjusted 12/31/2023	
Operating Revenues				
Base Revenue	$ 65,280,899.00	$ 405,312.00	$ 65,686,211.00	1
FRP	$ 5,495,165.00	$ 35,614.00	$ 5,530,779.00	2
PCA	$ 83,191,565.00	$ (22,302,598.00)	$ 60,888,967.00	3
Unbilled Revenue (Over)/Under Fuel	$ 5,491,969.00	$ (5,491,969.00)	$ -	4
Other	$ 1,202,857.00	$ -	$ 1,202,857.00	
Total	$ 160,662,455.00	$ (27,353,641.00)	$ 133,308,814.00	
Operating Expenses				
Purchased Power	$ 124,171,707.00	$ (26,528,952.00)	$ 97,642,755.00	5
Transmission O&M	$ 268,210.00	$ (263,583.00)	$ 4,627.00	6
Distribution-Operations	$ 6,308,508.00	$ (2,240,522.00)	$ 4,067,986.00	7
Distribution-Maintenance	$ 7,909,871.00	$ 98,188.00	$ 8,008,059.00	8
Consumer-Accounting	$ 2,164,367.00	$ 91,907.00	$ 2,256,274.00	9
Customer Service	$ 247,577.00	$ 7,861.00	$ 255,438.00	10
Sales	$ 298,423.00	$ 11,009.00	$ 309,432.00	11
Administrative & General	$ 5,427,012.00	$ 161,066.00	$ 5,588,078.00	12
Depreciation	$ 7,630,990.00	$ (87,514.00)	$ 7,543,476.00	13
Tax	$ -	$ 3,327,567.00	$ 3,327,567.00	14
Total	$ 154,426,665.00	$ (25,422,973.00)	$ 129,003,692.00	
Return	$ 6,235,790.00	$ (1,930,668.00)	$ 4,305,122.00	
Interest & Other Deductions				
Interest L-T Debt	$ 4,253,822.00	$ 1,177,780.00	$ 5,431,602.00	15
Interest Charged to Construction (credit)	$ (4,465,409.00)	$ 3,265,409.00	$ (1,200,000.00)	16
Interest Other	$ 5,887,604.00	$ (3,687,604.00)	$ 2,200,000.00	17
Total	$ 5,676,017.00	$ 755,585.00	$ 6,431,602.00	
Operating Margin	$ 559,773.00	$ (2,686,253.00)	$ (2,126,480.00)	
Non-Operating Margins				
Interest Income	$ 115,187.00	$ -	$ 115,187.00	
Other Margins	$ 45,130.00		$ 45,130.00	
Other Capital Credits	$ 924,337.00		$ 924,337.00	
Extraordinay Items	$ (797,081.00)	$ 797,081.00	$ -	18
Total	$ 287,573.00	$ 797,081.00	$ 1,084,654.00	
Net Margins	$ 847,346.00	$ (1,889,172.00)	$ (1,041,826.00)	
Operating TIER	1.13		0.61	
Net TIER	1.20		0.81	
DSC	1.22		1.12	
DSC (CFC)	1.25		1.07	



Beauregard Electric Cooperative, Inc.
Docket No. U-37483
Test Year Income Statement April 30, 2023 Per Staff

	Unadjusted 12/31/2023	Staff Adjustments	Adjusted 12/31/2023	
Operating Revenues				
Base Revenue	$ 65,280,899.00	$ 405,312.00	$ 65,686,211.00	1
FRP	$ 5,495,165.00	$ 35,614.00	$ 5,530,779.00	2
PCA	$ 83,191,565.00	$ (22,302,598.00)	$ 60,888,967.00	3
Unbilled Revenue (Over)/Under Fuel	$ 5,491,969.00	$ (5,491,969.00)	$ -	4
Other	$ 1,202,857.00	$ -	$ 1,202,857.00	
Total	$ 160,662,455.00	$ (27,353,641.00)	$ 133,308,814.00	
Operating Expenses				
Purchased Power	$ 124,171,707.00	$ (26,528,952.00)	$ 97,642,755.00	5
Transmission O&M	$ 268,210.00	$ (263,583.00)	$ 4,627.00	6
Distribution-Operations	$ 6,308,508.00	$ (2,240,522.00)	$ 4,067,986.00	7
Distribution-Maintenance	$ 7,909,871.00	$ 98,188.00	$ 8,008,059.00	8
Consumer-Accounting	$ 2,164,367.00	$ 91,907.00	$ 2,256,274.00	9
Customer Service	$ 247,577.00	$ 7,861.00	$ 255,438.00	10
Sales	$ 298,423.00	$ 11,009.00	$ 309,432.00	11
Administrative & General	$ 5,427,012.00	$ 161,066.00	$ 5,588,078.00	12
Depreciation	$ 7,630,990.00	$ (87,514.00)	$ 7,543,476.00	13
Tax	$ -	$ 3,327,567.00	$ 3,327,567.00	14
Total	$ 154,426,665.00	$ (25,422,973.00)	$ 129,003,692.00	
Return	$ 6,235,790.00	$ (1,930,668.00)	$ 4,305,122.00	
Interest & Other Deductions				
Interest L-T Debt	$ 4,253,822.00	$ 1,177,780.00	$ 5,431,602.00	15
Interest Charged to Construction (credit)	$ (4,465,409.00)	$ 3,265,409.00	$ (1,200,000.00)	16
Interest Other	$ 5,887,604.00	$ (3,687,604.00)	$ 2,200,000.00	17
Total	$ 5,676,017.00	$ 755,585.00	$ 6,431,602.00	
Operating Margin	$ 559,773.00	$ (2,686,253.00)	$ (2,126,480.00)	
Non-Operating Margins				
Interest Income	$ 115,187.00	$ -	$ 115,187.00	
Other Margins	$ 45,130.00	$ -	$ 45,130.00	
Other Capital Credits	$ 924,337.00	$ -	$ 924,337.00	
Extraordinary Items	$ (797,081.00)	$ 797,081.00	$ -	18
Total	$ 287,573.00	$ 797,081.00	$ 1,084,654.00	
Net Margins	$ 847,346.00	$ (1,889,172.00)	$ (1,041,826.00)	
Operating TIER	1.13		0.61	
Net TIER	1.20		0.81	
DSC	1.22		1.12	
DSC (CFC)	1.25		1.07	

Beauregard Electric Cooperative, Inc.
Docket No. U-37483
Revenue Requirement Analysis

Company Requested Revenue Increase	$	9,304,013.00				
Staff Recommended Revenue Increase	$	6,680,068.30				
		Unadjusted Test Year		Company Adjusted Test Year		Staff Adjusted Test Year
Interest on Long Term Debt	$	4,253,822.00	$	5,431,602.00	$	5,431,602.00
Operating Margin	$	559,773.00	$	(2,126,480.00)	$	(2,126,480.00)
Depreciation & Amortization	$	7,630,990.00	$	7,543,476.00	$	7,543,476.00
Net Margins	$	847,346.00	$	(1,041,826.00)	$	(1,041,826.00)
Principal Payments on L-T Debt	$	6,158,206.00	$	5,224,357.00	$	5,224,357.00
Interest Income	$	115,187.00	$	115,187.00	$	115,187.00
G&T Capital Credits Cash Payments	$	471,277.00	$	471,277.00	$	471,277.00
TIER		1.20		0.81		0.81
OTIER		1.13		0.61		0.61
DSC		1.22		1.12		1.12
DSC (CFC)		1.25		1.07		1.07
Additional Revenues required for 1.70 MDSC						
Operating Margins Required for 1.70 MDSC					$	4,553,588.30
Operating Margin Deficiency = Operating Margins - Operating Margins Required					$	(6,680,068.30)
Revenue Increase Required					$	6,680,068.30
Net Margins with Additional Revenues					$	5,638,242.30
Operating Margins with Additional Revenues					$	4,553,588.30
TIER						2.04
OTIER						1.84
DSC						1.75
DSC (CFC)						1.70
Total Revenue Increase Recommended					**$**	**6,680,068.30**

Beauregard Electric Cooperative, Inc.
Docket No. U-37483
Test Year Income Statement 12/31/2023 Per Cooperative

	As Adjusted 4/30/2023	Cooperative Adjustments	Pro Forma 4/30/2023
Operating Revenues			
Base Revenue	$ 65,686,211.00	$ 75,723,759.00	$ 141,409,970.00
FRP	$ 5,530,779.00	$ (5,530,779.00)	$ -
PCA	$ 60,888,967.00	$ (60,888,967.00)	$ -
Unbilled Revenue (Over)/Under Fuel	$ -		$ -
Other	$ 1,202,857.00		$ 1,202,857.00
Total	$ 133,308,814.00	$ 9,304,013.00	$ 142,612,827.00
Operating Expenses			
Purchased Power	$ 97,642,755.00		$ 97,642,755.00
Transmission O&M	$ 4,627.00		$ 4,627.00
Distribution-Operations	$ 4,067,986.00		$ 4,067,986.00
Distribution-Maintenance	$ 8,008,059.00		$ 8,008,059.00
Consumer-Accounting	$ 2,256,274.00		$ 2,256,274.00
Customer Service	$ 255,438.00		$ 255,438.00
Sales	$ 309,432.00		$ 309,432.00
Administrative & General	$ 5,588,078.00		$ 5,588,078.00
Depreciation	$ 7,543,476.00		$ 7,543,476.00
Tax	$ 3,327,567.00		$ 3,327,567.00
Total	$ 129,003,692.00	$ -	$ 129,003,692.00
Return	$ 4,305,122.00	$ 9,304,013.00	$ 13,609,135.00
Interest & Other Deductions			
Interest L-T Debt	$ 5,431,602.00		$ 5,431,602.00
Interest Charged to Construction (credit)	$ (1,200,000.00)		$ (1,200,000.00)
Interest Other	$ 2,200,000.00		$ 2,200,000.00
Total	$ 6,431,602.00	$ -	$ 6,431,602.00
Operating Margin	$ (2,126,480.00)	$ 9,304,013.00	$ 7,177,533.00
Non-Operating Margins			
Interest Income	$ 115,187.00		$ 115,187.00
Other Margins	$ 45,130.00		$ 45,130.00
G&T Capital Credits	$ 924,337.00		$ 924,337.00
Other Capital Credits	$ -		$ -
Total	$ 1,084,654.00	$ -	$ 1,084,654.00
Net Margins	$ (1,041,826.00)	$ 9,304,013.00	$ 8,262,187.00
Operating TIER	0.61		2.32
Net TIER	0.81		2.52
DSC	1.12		1.99
DSC (CFC)	1.07		1.95

Beauregard Electric Cooperative, Inc.
Docket No. U-37483
Test Year Income Statement 12/31/2023 Per Staff

	Adjusted 4/30/2023	Staff Adjustments	Pro Forma 4/30/2023
Operating Revenues			
Base Revenue	$ 65,686,211.00	$ 73,099,814.30	$ 138,786,025.30
FRP	$ 5,530,779.00	$ (5,530,779.00)	$ -
PCA	$ 60,888,967.00	$ (60,888,967.00)	$ -
Unbilled Revenue (Over)/Under Fuel	$ -		$ -
Other	$ 1,202,857.00		$ 1,202,857.00
Total	$ 133,308,814.00	$ 6,680,068.30	$ 139,988,882.30
Operating Expenses			
Purchased Power	$ 97,642,755.00		$ 97,642,755.00
Transmission O&M	$ 4,627.00		$ 4,627.00
Distribution-Operations	$ 4,067,986.00		$ 4,067,986.00
Distribution-Maintenance	$ 8,008,059.00		$ 8,008,059.00
Consumer-Accounting	$ 2,256,274.00		$ 2,256,274.00
Customer Service	$ 255,438.00		$ 255,438.00
Sales	$ 309,432.00		$ 309,432.00
Administrative & General	$ 5,588,078.00		$ 5,588,078.00
Depreciation	$ 7,543,476.00		$ 7,543,476.00
Tax	$ 3,327,567.00		$ 3,327,567.00
Total	$ 129,003,692.00	$ -	$ 129,003,692.00
Return	$ 4,305,122.00	$ 6,680,068.30	$ 10,985,190.30
Interest & Other Deductions			
Interest L-T Debt	$ 5,431,602.00		$ 5,431,602.00
Interest Charged to Construction (credit)	$ (1,200,000.00)		$ (1,200,000.00)
Other Interest	$ 2,200,000.00		$ 2,200,000.00
Total	$ 6,431,602.00	$ -	$ 6,431,602.00
Operating Margin	$ (2,126,480.00)	$ 6,680,068.30	$ 4,553,588.30
Non-Operating Margins			
Interest Income	$ 115,187.00		$ 115,187.00
Other Margins	$ 45,130.00		$ 45,130.00
G&T Capital Credits	$ 924,337.00		$ 924,337.00
Other Capital Credits	$ -		$ -
Total	$ 1,084,654.00	$ -	$ 1,084,654.00
Net Margins	$ (1,041,826.00)	$ 6,680,068.30	$ 5,638,242.30
Operating TIER	0.61		1.84
Net TIER	0.81		2.04
DSC	1.12		1.75
DSC (CFC)	1.07		1.70

Service List for U-37483
as of 7/11/2025

Commissioner(s)

Mike Francis

LPSC Staff Counsel

Arvind Viswanathan, LPSC Staff Attorney

LPSC Staff

Donnie Marks, LPSC Utilities Division

Thomas Broady, LPSC Auditing Division

Applicant : **Beauregard Electric Cooperative, Inc.**

Kara B. Kantrow
Marionneaux Kantrow, LLC
10202 Jefferson Highway, Building C
Baton Rouge, LA 70809-3183
Email: kara@mklawla.com
Fax: (225)757-1709; Phone: (225)769-7473

Kyle C. Marionneaux
Marionneaux Kantrow, LLC
10202 Jefferson Highway, Bldg. C
Baton Rouge , LA 70809-3183
Email: kyle@mklawla.com
Fax: (225)757-1709; Phone: (225)769-7473

John N. Grinton
Marionneaux Kantrow, LLC
10202 Jefferson Highway, Bldg. C
Baton Rouge, LA 70809
Email: john@mklawla.com
Fax: (225)757-1709; Phone: (225)769-7473

H. Barlow Holley
Marionneaux Kantrow, LLC
10202 Jefferson Highway, Building C
Baton Rouge, LA 70809
Email: barlow@mklawla.com
Fax: (225)757-1709; Phone: (225)769-7473

Intervenor :

Brian Zelenak
[redacted]
Email: [redacted]
Fax: ; Phone: [redacted]

Interested Party : Sudduth & Associates, LLC.

James E. Sudduth III
Sudduth & Associates, LLC
1109 Pithon St.
Lake Charles, LA 70601
Email: james@saa.legal
Fax: (337)419-0507; Phone: (337)480-0101

Interested Party : Louisiana Internet & Television - The Broadband Association (LIT)

Robert L. Rieger Jr.
Adams and Reese, LLP
450 Laurel St, Suite 1900
Baton Rouge, LA 70801-1820
Email: Robert.Rieger@arlaw.com
Fax: (225)336-5220; Phone: (225)336-5200

Susan N. Eccles
Adams and Reese LLP
450 Laurel Street
Suite 1900
Baton Rouge, LA 70801
Email: susan.eccles@arlaw.com
Fax: ; Phone: (225)378-3226

Taylor M. LeDuff
Adams and Reese LLP
450 Laurel Street, Suite 1900
Baton Rouge, LA 70801
Email: Taylor.LeDuff@arlaw.com
Fax: (225)336-520_; Phone: (225)336-5200

William R. Atkinson
Adams and Reese, LLP
450 Laurel Street, Suite 1900
Baton Rouge, LA 70801
Email: bill.atkinson@arlaw.com
Fax: (470)427-3691; Phone: (470)427-3700

Lauren Chauvin
Louisiana Cable
763 North Street
Baton Rouge, LA 70802
Email: lauren@lacable.org
Fax: (225)383-6705; Phone: (225)387-5960